CONFORMING AND CONSEQUENTIAL AMENDMENTS ARISING FROM PROPOSED ISA 220 (REVISED)[1]

Note:

- All changes are shown as marked from extant.

ISQC 1, *Quality Control for Firms that Perform Audits and Reviews of Financial Statements, and Other Assurance and Related Services Engagements*

Introduction

Scope of this ISQC

…

2. Other pronouncements of the International Auditing and Assurance Standards Board (IAASB) set out additional standards and guidance on the responsibilities of firm personnel regarding quality control procedures for specific types of engagements. ISA 220 (Revised), for example, deals with quality ~~control procedures~~management for audits of financial statements.

***

[1] Proposed ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

ISA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance With International Standards on Auditing*

Application and Other Explanatory Material

…

Definitions

Financial Statements

…

Ethical Requirements Relating to an Audit of Financial Statements (Ref: Para. 14)

…

A19. International Standard on Quality Control (ISQC) 1, or national requirements that are at least as demanding,[2] deal with the firm's responsibilities to establish and maintain its system of quality control for audit engagements. ISQC 1 sets out the responsibilities of the firm for establishing policies and procedures designed to provide it with reasonable assurance that the firm and its personnel comply with relevant ethical requirements, including those pertaining to independence.[3] ISA 220 (Revised) sets out the engagement partner's responsibilities with respect to relevant ethical requirements, including independence. ~~These include remaining alert, through observation and making inquiries as necessary, for evidence of non-compliance with relevant ethical requirements by members of the engagement team, determining the appropriate action if matters come to the engagement partner's attention that indicate that members of the engagement team have not complied with relevant ethical requirements, and forming a conclusion on compliance with independence requirements that apply to the audit engagement.~~[4] ~~ISA 220 recognizes that the engagement team is entitled to rely on a firm's system of quality control in meeting its responsibilities with respect to quality control procedures applicable to the individual audit engagement, unless information provided by the firm or other parties suggests otherwise.~~

…

Professional Judgement (Ref: Para. 16)

…

A27. The exercise of professional judgment in any particular case is based on the facts and circumstances that are known by the auditor. Consultation on difficult or contentious matters during the course of the audit, both within the engagement team and between the engagement team and others at the appropriate level within or outside the firm, such as that required by ISA 220 (Revised),[5] assist the auditor in making informed and reasonable judgments.

***

[2] ISA 220, *Quality Control for an Audit of Financial Statements*, paragraph 2

[3] ISQC 1, paragraphs 20–25

~~[4] ISA 220, paragraphs 9–12~~

[5] ISA 220, paragraph 18

ISA 210, *Agreeing the Terms of Audit Engagements*

Introduction

Scope of this ISA

1. This International Standard on Auditing (ISA) deals with the auditor's responsibilities in agreeing the terms of the audit engagement with management and, where appropriate, those charged with governance. This includes establishing that certain preconditions for an audit, responsibility for which rests with management and, where appropriate, those charged with governance, are present. ISA 220 (Revised) deals with those aspects of engagement acceptance that are within the control of the auditor. (Ref: Para. A1)

…

Application and Other Explanatory Material

Scope of this ISA (Ref: Para. 1)

A1. Assurance engagements, which include audit engagements, may only be accepted when the practitioner considers that relevant ethical requirements such as independence and professional competence will be satisfied, and when the engagement exhibits certain characteristics. The auditor's responsibilities in respect of ethical requirements in the context of the acceptance of an audit engagement and in so far as they are within the control of the auditor are dealt with in ISA 220 (Revised).[6] This ISA deals with those matters (or preconditions) that are within the control of the entity and upon which it is necessary for the auditor and the entity's management to agree.

***

[6] ISA 220, paragraphs 9–1~~1~~0A

ISA 230, *Audit Documentation*

Introduction

Nature and Purposes of Audit Documentation

3. Audit documentation serves a number of additional purposes, including the following:

   - Assisting the engagement team to plan and perform the audit.
   - Assisting members of the engagement team responsible for supervision to direct and supervise the audit work, and to discharge their review responsibilities in accordance with ISA 220 (Revised).[7]

…

Application and Other Explanatory Material

…

Documentation of the Audit Procedures Performed and Audit Evidence Obtained

…

Identification of Specific Items or Matters Tested, and of the Preparer and Reviewer (Ref: Para. 9)

…

A13. ISA 220 (Revised) contains requirements and guidance on the auditor's review of audit documentation~~requires the auditor to review the audit work performed through review of the audit documentation~~.[8] The requirement to document who reviewed the audit work performed does not imply a need for each specific working paper to include evidence of review. The requirement, however, means documenting what audit work was reviewed, who reviewed such work, and when it was reviewed.

…

Matters Arising after the Date of the Auditor's Report (Ref: Para. 13)

A20. Examples of exceptional circumstances include facts which become known to the auditor after the date of the auditor's report but which existed at that date and which, if known at that date, might have caused the financial statements to be amended or the auditor to modify the opinion in the auditor's report.[9] The resulting changes to the audit documentation are reviewed in accordance with the review responsibilities set out in ISA 220 (Revised).[10]~~, with the engagement partner taking final responsibility for the changes~~.

…

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[7] ISA 220, paragraphs 15–17C

[8] ISA 220, paragraph 17–17A

[9] ISA 560, *Subsequent Events*, paragraph 14

[10] ISA 220, paragraph 15~~6~~

Appendix

(Ref: Para. 1)

Specific Audit Documentation Requirements in Other ISAs

This appendix identifies paragraphs in other ISAs that contain specific documentation requirements. The list is not a substitute for considering the requirements and related application and other explanatory material in ISAs.

- ISA 210, *Agreeing the Terms of Audit Engagements* – paragraphs 10–12
- ISA 220 (Revised), *Quality Management~~Control~~ for an Audit of Financial Statements* – paragraph~~s~~ 24~~–25~~
- ISA 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* – paragraphs 44–47
- ISA 250, *Consideration of Laws and Regulations in an Audit of Financial Statements* – paragraph 29
- ISA 260 (Revised), Communication with Those Charged with Governance – paragraph 23
- ISA 300, Planning an Audit of Financial Statements – paragraph 12
- ISA 315 (Revised), Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment – paragraph 32
- ISA 320, Materiality in Planning and Performing an Audit – paragraph 14
- ISA 330, The Auditor's Responses to Assessed Risks – paragraphs 28–30
- ISA 450, Evaluation of Misstatements Identified during the Audit – paragraph 15
- ISA 540 (Revised), Auditing Accounting Estimates and Related Disclosures – paragraph 37
- ISA 550, Related Parties – paragraph 28
- ISA 600, Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors) – paragraph 50
- ISA 610 (Revised 2013), Using the Work of Internal Auditors – paragraph 36–37
- ISA 720 (Revised), The Auditor's Responsibilities Relating to Other Information – paragraph 25

***

ISA 250 (Revised), *Consideration of Laws and Regulations in an Audit of Financial Statements*

Application and Other Explanatory Material

…

Audit Procedures When Non-Compliance Iis Identified or Suspected

…

Evaluating the Implications of Identified or Suspected Non-Compliance (Ref: Para. 22)

…

A25. In certain circumstances, the auditor may consider withdrawing from the engagement, where permitted by law or regulation, for example when management or those charged with governance do not take the remedial action that the auditor considers appropriate in the circumstances or the identified or suspected non-compliance raises questions regarding the integrity of management or those charged with governance, even when the non-compliance is not material to the financial statements. The auditor may consider it appropriate to obtain legal advice to determine whether withdrawal from the engagement is appropriate. When the auditor determines that withdrawing from the engagement would be appropriate, doing so would not be a substitute for complying with other responsibilities under law, regulation or relevant ethical requirements to respond to identified or suspected non-compliance. Furthermore, paragraph A8F of ISA 220 (Revised) indicates that some ethical requirements may require the predecessor auditor, upon request by the proposed successor auditor, to provide information regarding non-compliance with laws and regulations to the successor auditor.

***

ISA 260 (Revised), *Communication with Those Charged with Governance*

Application and Other Explanatory Material

…

Matters to Be Communicated

…

Significant Findings from the Audit (Ref: Para. 16)

…

Other Significant Matters Relevant to the Financial Reporting Process (Ref: Para. 16(e))

A28 To the extent not already addressed by the requirements in paragraphs 16(a)–(d) and related application material, the auditor may consider communicating about other matters discussed with, or considered by, the engagement quality ~~control~~ reviewer, if one has been appointed, in accordance with ISA 220 (Revised).[11]

***

[11] See paragraphs 19~~–22~~ and A23–A25A~~33~~ of ISA 220 (Revised), *Quality Management~~Control~~ for an Audit of Financial Statements*.

ISA 300, *Planning an Audit of Financial Statements*

Introduction

Scope of this ISA

1. This International Standard on Auditing (ISA) deals with the auditor's responsibility to plan an audit of financial statements. This ISA is written in the context of recurring audits. Additional considerations in an initial audit engagement are separately identified. ~~2.~~ Planning an audit involves establishing the overall audit strategy for the engagement and developing an audit plan.

~~The Role and Timing of Planning~~

2A. Quality management at the engagement level in conjunction with ~~A~~adequate planning in accordance with this ISA benefits the audit of financial statements in several ways, including the following~~:~~ (Ref: Para. A1-A3)

- Helping the auditor to devote appropriate attention to important areas of the audit.
- Helping the auditor identify and resolve potential problems on a timely basis.
- Helping the auditor properly organize and manage the audit engagement so that it is performed in an effective and efficient manner.
- Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them.
- Facilitating the direction and supervision of engagement team members and the review of their work.
- Assisting, where applicable, in coordination of work done by auditors of components and experts.

…

Requirements

…

Preliminary Engagement Activities

6. The auditor shall undertake the following activities at the beginning of the current audit engagement:

   (a) Performing procedures required by ISA 220 (Revised) regarding the acceptance and continuance of the client relationships and ~~the specific~~ audit engagements;[12]

   (b) Evaluating compliance with relevant ethical requirements, including independence, in accordance with ISA 220 (Revised);[13] and

   (c) Establishing an understanding of the terms of the engagement, as required by ISA 210.[14] (Ref: Para. A5-A7)

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[12] ISA 220 (Revised), *Quality ~~Control~~ Management for an Audit of Financial Statements*, paragraphs 12–13

[13] ISA 220, paragraphs 9–10A~~1~~

[14] ISA 210, *Agreeing the Terms of Audit Engagements*, paragraphs 9–13

…

Planning Activities

…

8. In establishing the overall audit strategy, the auditor shall consider the information obtained from performing procedures required by ISA 220 (revised) and:

   (a) Identify the characteristics of the engagement that define its scope;

   (b) Ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required;

   (c) Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts;

   (d) Consider the results of preliminary engagement activities and, where applicable, whether knowledge gained on other engagements performed by the engagement partner for the entity is relevant; and

   (e) Ascertain the nature, timing and extent of resources necessary to perform the engagement. (Ref: Para. A8-A11)

…

11. The auditor shall plan the nature, timing and extent of direction and supervision of engagement team members and the review of their work as required by ISA 220 (Revised). (Ref: Para. A16-~~A17~~)

…

Additional Considerations in Initial Audit Engagements

13. The auditor shall undertake the following activities prior to starting an initial audit:

   (a) Performing procedures required by ISA 220 (Revised) regarding the acceptance of ~~the~~ client relationships and ~~the specific~~ audit engagements;[15] and

   (b) Communicating with the predecessor auditor, where there has been a change of auditors, in compliance with relevant ethical requirements. (Ref: Para. A22)

Application and Other Explanatory Material

A0. ISA 220 (Revised) establishes requirements and provides guidance on the specific responsibilities of the auditor regarding quality management at the engagement level for an audit of financial statements, and the related responsibilities of the engagement partner. Information obtained from performing procedures required by ISA 220 (Revised) is ~~directly~~ relevant to this ISA. For example, in accordance with ISA 220, the engagement partner is required to determine that sufficient and appropriate resources to perform the engagement have been assigned or made available to the engagement team, given the nature and circumstances of the audit engagement. Such a procedure is directly relevant when describing the nature, timing and extent of resources necessary to perform the engagement in the overall strategy, as required by paragraph 8 of this ISA.

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[15] ISA 220 (Revised), paragraphs 12–13

The Role and Timing of Planning (Ref: Para. 2)

A1. The nature and extent of planning activities will vary according to the size and complexity of the entity, the key engagement team members' previous experience with the entity, and changes in circumstances that occur during the audit engagement. In planning the audit, the auditor may use project management techniques and tools. ISA 220 (Revised) describes how such techniques and tools may support the engagement partner and the other members of the engagement team in managing the quality of the engagement.

…

A3. The auditor may decide to discuss elements of planning with the entity's management to ~~facilitate the conduct and management of the audit engagement~~inform quality management at the engagement level (for example, to coordinate some of the planned audit procedures with the work of the entity's personnel). Although these discussions often occur, the overall audit strategy and the audit plan remain the auditor's responsibility. When discussing matters included in the overall audit strategy or audit plan, care is required in order not to compromise the effectiveness of the audit. For example, discussing the nature and timing of detailed audit procedures with management may compromise the effectiveness of the audit by making the audit procedures too predictable.

…

Preliminary Engagement Activities (Ref: Para. 6)

A5. Performing the preliminary engagement activities specified in paragraph 6 at the beginning of the current audit engagement assists the auditor in identifying and evaluating events or circumstances that may adversely affect the auditor's ability to ~~plan and perform the audit engagement~~manage quality at the engagement level in accordance with ISA 220.

A6. Performing these preliminary engagement activities enables the auditor to plan an audit engagement for which, for example:

- ~~The auditor m~~Maintain~~s~~ the necessary independence and ability to perform the engagement.
- Determine that ~~T~~there are no issues with management integrity that may affect the auditor's willingness to continue the engagement.
- Determine that ~~T~~there is no misunderstanding with the client as to the terms of the engagement.

A7. ~~The auditor's consideration of client continuance and relevant ethical requirements, including independence, occurs throughout the audit engagement as conditions and changes in circumstances occur.~~ Performing initial procedures on both client continuance and evaluation of relevant ethical requirements (including independence) at the beginning of the current audit engagement means that they are completed prior to the performance of other significant activities for the current audit engagement. For continuing audit engagements, such initial procedures often occur shortly after (or in connection with) the completion of the previous audit.

Planning Activities

The Overall Audit Strategy (Ref: Para. 7- 8)

A8. The process of establishing the overall audit strategy~~ assists the auditor to determine~~, subject to the completion of the auditor's risk assessment procedures, includes describing such matters as:

- The nature of resources (human, technological or intellectual) to deploy for specific audit areas. For example, the deployment of ~~, such as the use of appropriately~~ experienced team members for high risk areas, or the ~~involvement~~ assignment of experts to address~~on~~ complex matters;
- The amount of resources to allocate to specific audit areas. For example, ~~, such as~~ the number of team members assigned to attend~~observe~~ the physical inventory count at multiple~~material~~ locations;~~,~~ the extent of review of other auditors' work in the case of group audits, or the audit budget in hours to allocate to high~~ risk areas;~~
- When these resources are to be deployed, such as whether at an interim audit stage or at key cutoff dates; and
- How such resources are ~~managed,~~ directed, ~~and~~ supervised or used. For example, ~~, such as~~ when team briefing and debriefing meetings are expected to be held, how engagement partner and manager reviews are expected to take place (for example, on-site or off-site)~~, and whether to complete engagement quality control reviews.~~ .

A8A. ISA 220 (Revised) contains requirements and guidance on engagement resources and engagement performance (including direction and supervision of the members of the engagement team and the review of their work)

…

Direction, Supervision and Review (Ref: Para. 11)

A16. ISA 220 (Revised) establishes requirements and provides guidance on the engagement partner's responsibility for the nature, timing and extent of direction and supervision of the members of the engagement team and the review of the work performed.

~~A16. The nature, timing and extent of the direction and supervision of engagement team members and review of their work vary depending on many factors, including:~~

- ~~The size and complexity of the entity.~~
- ~~The area of the audit.~~
- ~~The assessed risks of material misstatement (for example, an increase in the assessed risk of material misstatement for a given area of the audit ordinarily requires a corresponding increase in the extent and timeliness of direction and supervision of engagement team members, and a more detailed review of their work).~~
- ~~The capabilities and competence of the individual team members performing the audit work.~~

ISA 220 ~~contains further guidance on the direction, supervision and review of audit work.~~[16]

~~*Considerations Specific to Smaller Entities*~~

~~16 ISA 220, paragraphs 15-17.~~

~~A17. If an audit is carried out entirely by the engagement partner, questions of direction and supervision of engagement team members and review of their work do not arise. In such cases, the engagement partner, having personally conducted all aspects of the work, will be aware of all material issues. Forming an objective view on the appropriateness of the judgments made in the course of the audit can present practical problems when the same individual also performs the entire audit. If particularly complex or unusual issues are involved, and the audit is performed by a sole practitioner, it may be desirable to consult with other suitably-experienced auditors or the auditor's professional body.~~

Documentation (Ref: Para. 12)

A18. The documentation of the overall audit strategy is a record of the key decisions ~~considered necessary to properly~~in ~~plan the audit~~managing quality at the engagement level and a means to communicate significant matters to the engagement team. For example, the auditor may summarize the overall audit strategy in the form of a memorandum that contains key decisions regarding the overall scope, timing and conduct of the audit.

…

Additional Considerations in Initial Audit Engagements (Ref: Para. 13)

A22. The purpose and objective of planning the audit are the same whether the audit is an initial or recurring engagement. However, for an initial audit, the auditor may need to expand the planning activities because the auditor does not ordinarily have the previous experience with the entity that is considered when planning recurring engagements. For an initial audit engagement, additional matters the auditor may consider in establishing the overall audit strategy and audit plan include the following:

- Unless prohibited by law or regulation, arrangements to be made with the predecessor auditor, for example, to review the predecessor auditor's working papers.
- Any major issues (including the application of accounting principles or of auditing and reporting standards) discussed with management in connection with the initial selection as auditor, the communication of these matters to those charged with governance and how these matters affect the overall audit strategy and audit plan.
- The audit procedures necessary to obtain sufficient appropriate audit evidence regarding opening balances.[17]
- Other ~~procedures~~ responses required by the firm's system of quality control for initial audit engagements (for example, the firm's system of quality control may require the involvement of another partner or senior individual to review the overall audit strategy prior to commencing significant audit procedures or to review reports prior to their issuance).

[17] ISA 510, *Initial Audit Engagements—Opening Balances*

Appendix

(Ref: Para. 7–8, A8–A11)

Considerations in Establishing the Overall Audit Strategy

This appendix provides examples of matters the auditor may consider in managing quality at the engagement level~~establishing the overall audit strategy~~. Many of these matters will also influence the auditor's overall audit strategy and detailed audit plan. The examples provided cover a broad range of matters applicable to many engagements. While some of the matters referred to below may be required by other ISAs, not all matters are relevant to every audit engagement and the list is not necessarily complete.

…

Nature, Timing and Extent of Resources

- The assignment of human, technological and intellectual resources to the engagement (e.g, ~~selection~~ assignment of the engagement team ~~(including, where necessary, the engagement quality control reviewer)~~ and the assignment of audit work to the team members, including the assignment of appropriately experienced team members to areas where there may be higher risks of material misstatement).
- Engagement budgeting, including considering the appropriate amount of time to set aside for areas where there may be higher risks of material misstatement

***

ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

Risk Assessment Procedures and Related Activities

…

Specialized Skills or Knowledge (Ref: Para. 15)

A61. Matters that may affect the auditor's determination of whether the engagement team requires specialized skills or knowledge, include, for example:[18]

- The nature of the accounting estimates for a particular business or industry (for example, mineral deposits, agricultural assets, complex financial instruments, insurance contract liabilities).

***

[18] ISA 220, *Quality Control for an Audit of Financial Statements*, paragraph 14–14A and ISA 300, *Planning an Audit of Financial Statements*, paragraph 8(e)

ISA 600, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*

Introduction

Scope of this ISA

…

4. In accordance with ISA 220 (Revised),[19] the group engagement partner is required to be satisfied that those performing the group audit engagement, including component auditors, collectively have the appropriate time, competence and capabilities. The group engagement partner is also responsible for the nature, timing, and extent of direction and~~,~~ supervision of the members of the group engagement team and review~~performance~~ of the work performed on the group audit engagement.

5. The group engagement partner applies the requirements of ISA 220 (Revised) regardless of whether the group engagement team or a component auditor performs the work on the financial information of a component. This ISA assists the group engagement partner to meet the requirements of ISA 220 (Revised) where component auditors perform work on the financial information of components.

…

Requirements

…

Acceptance and Continuance

12. In applying ISA 220 (Revised), the group engagement partner shall determine whether sufficient appropriate audit evidence can reasonably be expected to be obtained in relation to the consolidation process and the financial information of the components on which to base the group audit opinion. For this purpose, the group engagement team shall obtain an understanding of the group, its components, and their environments that is sufficient to identify components that are likely to be significant components. Where component auditors will perform work on the financial information of such components, the group engagement partner shall evaluate whether the group engagement team will be able to be involved in the work of those component auditors to the extent necessary to obtain sufficient appropriate audit evidence. (Ref: Para. A10–A12)

***

[19] ISA 220 (Revised), *Quality Management~~Control~~ for an Audit of Financial Statements*, paragraphs 14–15

ISA 610 (Revised 2013), *Using the Work of Internal Auditors*

Requirements

…

Using Internal Auditors to Provide Direct Assistance

…

34. The external auditor shall direct, supervise and review the work performed by internal auditors on the engagement in accordance with ISA 220 (Revised).[20] In so doing:

    (a) The nature, timing and extent of direction, supervision, and review shall recognize that the internal auditors are not independent of the entity and be responsive to the outcome of the evaluation of the factors in paragraph 29 of this ISA; and

    (b) The review procedures shall include the external auditor checking back to the underlying audit evidence for some of the work performed by the internal auditors.

    The direction, supervision and review by the external auditor of the work performed by the internal auditors shall be sufficient in order for the external auditor to be satisfied that the internal auditors have obtained sufficient appropriate audit evidence to support the conclusions based on that work. (Ref: Para. A40–A41)

***

[20] ISA 220 (Revised), *Quality Management~~Control~~ for an Audit of Financial Statements*

ISA 620, *Using the Work of an Auditor's Expert*

Introduction

Scope of this ISA

…

2. ISA does not deal with:

    (a) Situations where the engagement team includes a member, or consults an individual or organization, with expertise in a specialized area of accounting or auditing, which are dealt with in ISA 220 (Revised);[21] or

    (b) The auditor's use of the work of an individual or organization possessing expertise in a field other than accounting or auditing, whose work in that field is used by the entity to assist the entity in preparing the financial statements (a management's expert), which is dealt with in ISA 500.[22]

***

[21] ISA 220 (Revised), *Quality Management~~Control~~ for an Audit of Financial Statements*, paragraphs A10~~, A20–A22~~

[22] ISA 500, *Audit Evidence*, paragraphs A34–A48

ISA 701, *Communicating Key Audit Matters in the Independent Auditor's Report*

Application and Other Explanatory Material

…

Determining Key Audit Matters

…

Matters that Required Significant Auditor Attention (Ref: Para. 9)

…

A15 Various ISAs require specific communications with those charged with governance and others that may relate to areas of significant auditor attention. For example:

- ISA 260 (Revised) requires the auditor to communicate significant difficulties, if any, encountered during the audit with those charged with governance.[23] The ISAs acknowledge potential difficulties in relation to, for example:
    - Related party transactions,[24] in particular limitations on the auditor's ability to obtain audit evidence that all other aspects of a related party transaction (other than price) are equivalent to those of a similar arm's length transaction.
    - Limitations on the group audit, for example, where the group engagement team's access to information may have been restricted.[25]

- ISA 220 (Revised) establishes requirements for the engagement partner in relation to undertaking appropriate consultation on matters where the firm's policies or procedures require consultation, difficult or contentious matters,[26] and other matters that in the engagement partner's professional judgment, require consultation. For example, the auditor may have consulted with others within the firm or outside the firm on a significant technical matter, which may be an indicator that it is a key audit matter. The engagement partner is also required to discuss, among other things, significant matters arising during the audit engagement with the engagement quality ~~control~~ reviewer.[27]

***

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23 ISA 260 (Revised), paragraphs 16(b) and A21

24 ISA 550, *Related Parties*, paragraph A42

25 ISA 600, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*, paragraph 49(d)

26 ISA 220 (Revised), *Quality Management~~Control~~ for an Audit of Financial Statements*, paragraph 18

27 ISA 220, paragraph 19

ISA 720 (Revised), *The Auditor's Responsibilities Relating to Other Information*

Application and Other Explanatory Material

…

Reading and Considering the Other Information (Ref: Para. 14–15)

…

A24. In accordance with ISA 220 <u>(Revised)</u>,[28] the engagement partner is required to take responsibility for the <u>nature, timing and extent of direction and supervision of the members of the engagement team and the review of the work performed, and be satisfied that such direction, supervision and review is</u> ~~direction, supervision and performance of the audit engagement~~ in compliance with <u>the firm's policies or procedures,</u> professional standards and applicable legal and regulatory requirements. In the context of this ISA, factors that may be taken into account when determining the appropriate engagement team members to address the requirements of paragraphs 14–15, include:

- The relative experience of engagement team members.
- Whether the engagement team members to be assigned the tasks have the relevant knowledge obtained in the audit to identify inconsistencies between the other information and that knowledge.
- The degree of judgment involved in addressing the requirements of paragraph 14–15. For example, performing procedures to evaluate the consistency of amounts in the other information that are intended to be the same as amounts in the financial statements may be carried out by less experienced engagement team members.
- Whether, in the case of a group audit, it is necessary to make inquiries of a component auditor in addressing the other information related to that component.

***

[28] ISA 220 <u>(Revised)</u>, *Quality <u>Management</u>~~Control~~ for an Audit of Financial Statements*, paragraph 15(a)

IAPN 1000, *Special Considerations in Auditing Financial Instruments*

Section II—Audit Considerations Relating to Financial Instruments

…

Planning Considerations

…

Using Those with Specialized Skills and Knowledge in the Audit[29]

78. A key consideration in audits involving financial instruments, particularly complex financial instruments, is the competence of the auditor. ISA 220 (Revised)[30] requires the engagement partner to be satisfied that members of the engagement team, and any auditor's experts who are not part of the engagement team, collectively have the appropriate time, competence and capabilities to perform the audit engagement ~~in accordance with professional standards and applicable legal and regulatory requirements and to enable an auditor's report that is appropriate in the circumstances to be issued~~. Further, relevant ethical requirements require the auditor to determine whether acceptance of the engagement would create any threats to compliance with the fundamental principles, including the professional competence and due care. Paragraph 79 below provides examples of the types of matters that may be relevant to the auditor's considerations in the context of financial instruments.

****

29 When such a person's expertise is in auditing and accounting, regardless of whether the person is from within or external to the firm, this person is considered to be part of the engagement team and is subject to the requirements of ISA 220 (Revised), *Quality Management~~Control~~ for an Audit of Financial Statements*. When such a person's expertise is in a field other than accounting or auditing, such person is considered to be an auditor's expert, and the provisions of ISA 620, *Using the Work of an Auditor's Expert*, apply. ISA 620 explains that distinguishing between specialized areas of accounting or auditing, and expertise in another field, will be a matter of professional judgment, but notes the distinction may be made between expertise in methods of accounting for financial instruments (accounting and auditing expertise) and expertise in complex valuation techniques for financial instruments (expertise in a field other than accounting or auditing).

30 ISA 220, paragraph 14A